
Sacred

Lightpaper

Halal leverage for traders. Real yield for depositors. No interest anywhere.

Read this first. Sacred is at design stage. No Shariah board has reviewed it yet, so nothing here is certified halal. Every number is a proposal or a backtest result, not a promise. This paper is not an offer to sell anything.

1 The problem

Muslims are locked out of the two biggest things in DeFi.

- **Leverage.** Perps and margin run on interest, funding payments and selling what you do not own. In 2006 the Muslim World League's Fiqh Council ruled against margin trading for four reasons: fees for delay, a loan tied to a sale, selling what is not owned, and excessive risk.
- **Yield.** Stablecoin yield comes from lending at interest. That is riba.

So a Muslim trader either sits out or trades against their own faith. A Muslim saver holds idle stablecoins. We think both deserve better, and we think the fix is simple.

2 The idea

Do not lend. Sell.

A vault buys a real coin and sells it to the trader at cost plus a fixed markup. The trader pays a part now and the rest later. The coin stays pledged until the balance is paid. That is all.

There is no loan, so there is no interest. The price is fixed once and never grows. The coin is real and owned before it is sold. These are three contracts Muslims have used for centuries:

Contract	Between	In one line
Mudarabah	Depositors and the manager	Depositors fund, the manager runs the desk, profit is shared, nothing is guaranteed
Murabaha	The vault and the trader	A sale at disclosed cost plus a fixed markup, paid later
Rahn	The trader and the vault	The coin is pledged until the balance is paid

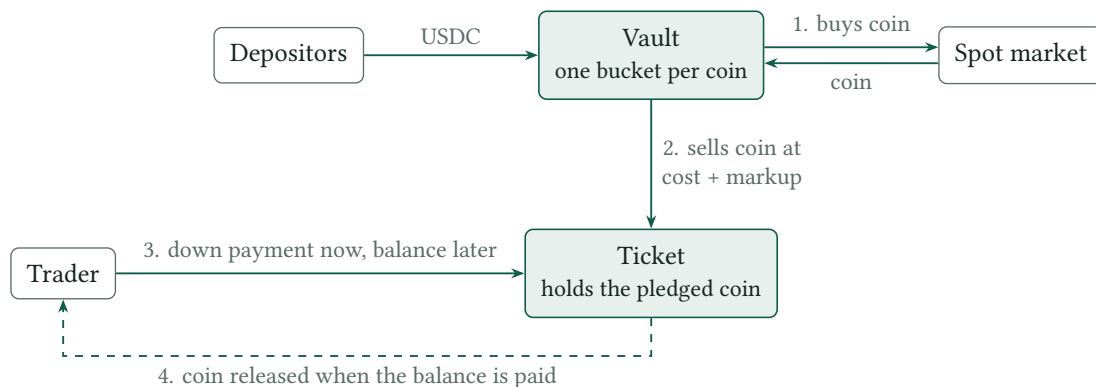


Figure 1: One financed purchase. Steps 1 to 3 happen in a single transaction.

3 The vault

The vault is where depositors earn.

- **Buckets.** One bucket per coin and mode. Buckets never share money or losses. You pick your bucket, so you pick your risk.
- **Yield is the markup.** Traders pay a fixed markup. **100% of it goes to depositors.** Depositors earn whether traders win or lose.

- **Nothing is promised.** No fixed yield, no capital guarantee. Loss falls on capital, as mudarabah requires.
- **Weekly exits.** Deposits and withdrawals are processed once a week at the share price. Withdrawals rank ahead of new tickets.
- **Shares cannot be traded.** A bucket mostly holds debts, and debt cannot be traded at a discount.
- **A loss reserve.** A slice of profit builds a reserve in every bucket. It pays shortfalls first.

What it could pay. A bucket with 80% of its USDC financed at an 11% yearly rate earns about 7.9% a year for depositors, before any shortfalls. That is arithmetic on proposed values, not a forecast.

4 The ticket

A ticket is one purchase of one coin by one trader.

Example. You put 1,000 USDC down on BTC at 3x for 14 days at an 11% yearly rate.

The vault buys BTC for	3,000.00
Your down payment	1,000.00
The vault finances	2,000.00
Markup: $2,000 \times 11\% \times 14 / 365$	8.44
You owe by the due date	2,008.44

That 8.44 is the whole cost. No opening fee, no closing fee, no late fee, no funding.

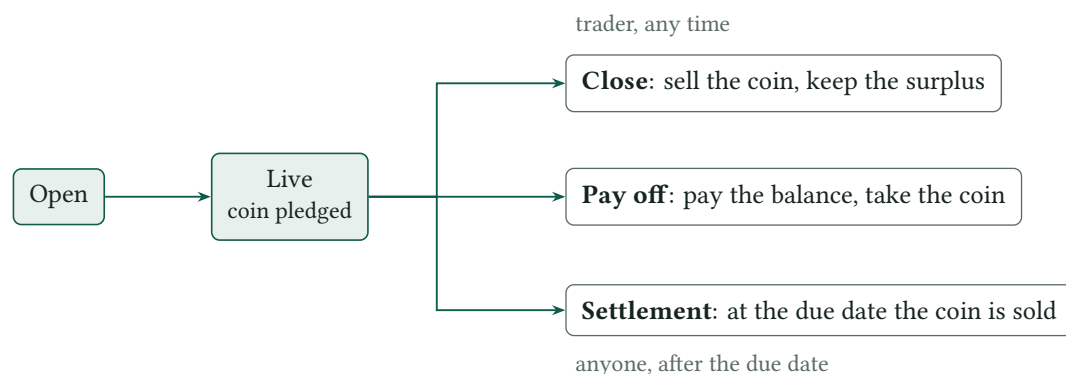


Figure 2: How a ticket ends. The trader can leave whenever they like and pays only for the days used.

The rules that never bend.

- The vault owns the coin before it sells it.
- The balance never increases. No penalty, no roll-over.
- The pledged coin is never lent, staked or reused. It is sold only on the open market, never back to the vault.
- **The trader never owes more than the pledged coin.** The worst case is losing the down payment.
- Closing, paying off and withdrawing can never be paused by anyone.

5 Three ways to trade

	Term	Margin	Evergreen
Status	Ships first	After a board ruling	After a board ruling
Length	7 or 14 days	Up to 30 days	365 days, pay only for days held
Leverage	BTC 3x, ETH 2x	Up to 10x	BTC 3x, ETH 2x
Early sale of the coin	Never	Part is sold if cover falls to 105%	Part is sold if cover falls to 110%
Who carries a crash	The vault	Mostly the trader	Mostly the trader

Cover is the coin's value divided by what the trader owes today. All leverage figures are proposals to the board.

Term is the cleanest. There is no liquidation price, because nothing is ever sold before the due date.

Evergreen is how we remove the deadline. The markup for a full year is fixed at opening, and the trader is charged only for the days used. A far away price trigger protects the vault in place of a near due date. At BTC 3x the price has to fall about 27% before anything is sold, and even then only part of the coin is sold.

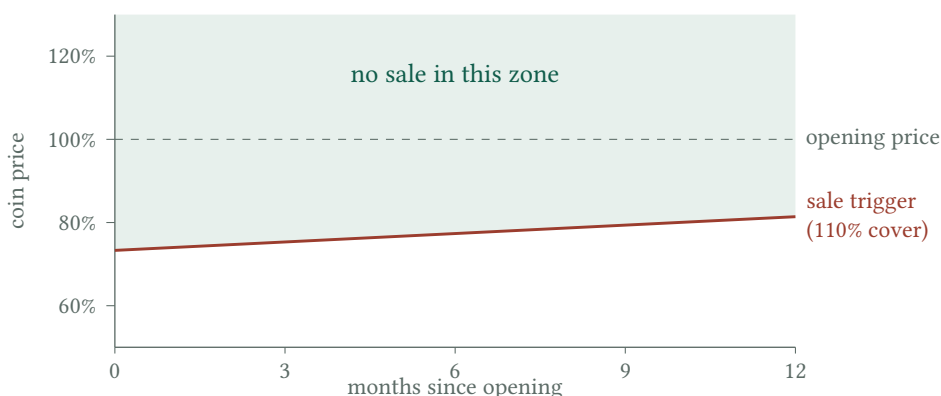


Figure 3: Evergreen ticket at BTC 3x. The trigger starts 27% below the opening price and rises slowly as markup is earned.

6 Sharing the upside

When a ticket ends in profit, **the trader keeps 70% and 30% goes to the backstop fund**. That fund is what pays shortfalls, including the trader's own. A ticket that ends in a loss shares nothing.

Example. The ticket above, held to the due date with BTC up 20%. The coin sells for 3,600. Profit is 591.56. The fund receives 177.47. The trader keeps 1,414.09 on 1,000 down, a gain of 41.4% on a 20% move.

The split is shown on the order form before the ticket opens. Profit is measured once, when the ticket ends: what the trader takes out minus what the trader put in.

7 Safety first

Security and solvency come before everything else. Here is who pays when a pledged coin sells for less than the balance.

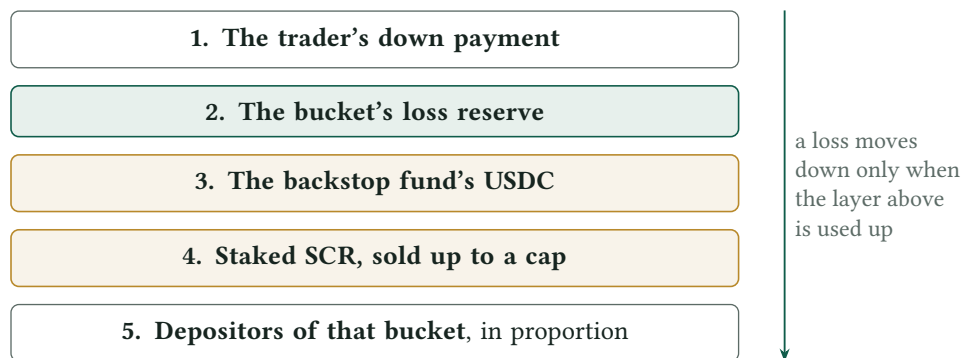


Figure 4: The order in which a loss is absorbed.

What the backtests say. We ran every design against Binance one minute prices from January 2020 to August 2026, with tickets left unmanaged.

Ticket	Average loss per year	Worst year
Term, BTC 3x, 14 days	1.0%	5.1% (2020)
Term, ETH 2x, 14 days	0.0%	0.0%
Evergreen, BTC 3x, sales delayed 5 minutes	0.13%	1.4% (2020)
Evergreen, BTC 3x, nobody can sell for an hour	0.53%	4.4% (2020)

Losses are a share of the amount financed, against a rate of about 11% a year. On chain markets are thinner than Binance, so treat these as a floor. The past does not bound the future.

8 SCR

SCR is the protocol token. It has three jobs. Depositor yield does not depend on any of them.

- **Backstop.** People stake SCR and stand behind shortfalls. Leaving takes a cooldown, so nobody can run ahead of a loss. Stakers are paid in USDC from the traders' profit share. There are no token emissions and no rebase.
- **Liquidity reserve.** A pool of USDC that deposits into a bucket when it is short of cash, so depositors can exit and traders can open. It is funded by selling SCR for USDC, never below the reserve's value per token, and only when the reserve is below target.
- **One pool.** SCR/USDC on Uniswap v4, owned by the protocol. A small fee on buys and a larger one on sells goes to the reserve.

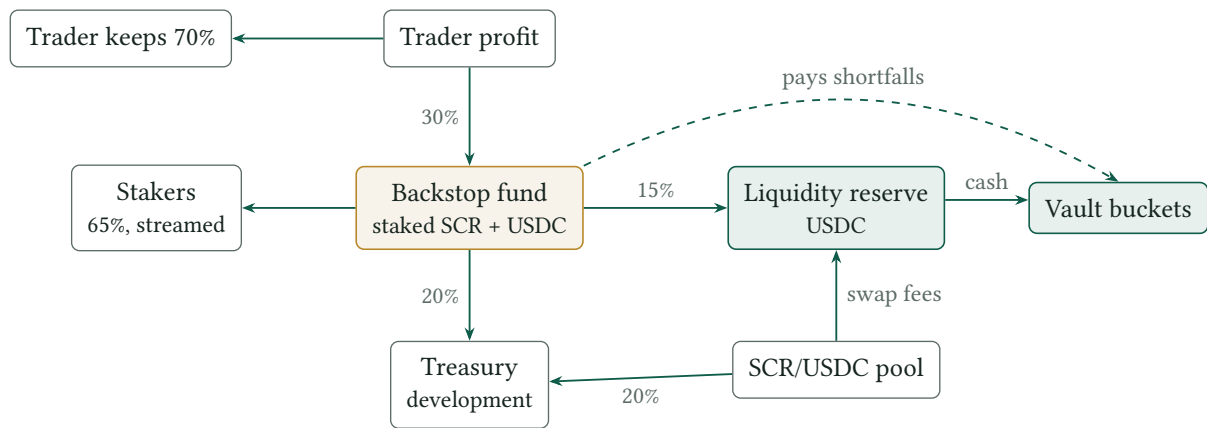


Figure 5: Where the money goes. Markup is not in this picture: all of it goes to depositors.

Supply

One billion SCR, fixed. No emissions beyond it.

Allocation	Share	Unlock
Airdrops, in seasons	25%	10% at launch, the rest over later seasons, delivered staked
Community incentives and grants	10%	Streamed over 5 years
Reserve sales	10%	Sold only at or above reserve value per token
Pool liquidity	4%	At launch, never withdrawn
Protocol's own backstop stake	3%	Staked for good
Team, co-founders, hires, advisors	20%	1 year cliff, then 3 years linear
Investors	18%	Same lock as the team
Treasury and development	10%	Streamed over 5 years

Points and airdrops

Early users earn points. Traders earn them per USDC of markup paid. Depositors earn them per USDC per day deposited. Volume earns nothing, so farming points means paying depositors. Airdrops arrive as staked SCR, which builds the backstop from day one. The token launches only after the vault has run on points for 6 to 12 months and has real fees.

9 Rising and falling markets

We would rather tell you where the money stops than pretend it never does.

	Rising market	Falling market
Depositor yield	Markup at high utilisation	Markup at lower utilisation
Backstop fund	30% of trader profit	Little or nothing
Liquidity reserve	SCR sales and buy fees	Sell fees only

The reserve and the fund are built in good times and sized to last through bad ones.

10 Shariah

We built this to answer the 2006 ruling point by point.

The ruling's objection	Sacred
Fees for delay are riba	The price is fixed once. Nothing ever grows.
A loan tied to a sale	There is no loan. The financing is the sale.
Selling what is not owned	Real coins, owned by the vault before it sells them.
Excessive risk	Low leverage, and a loss capped at the pledge.

What still needs a ruling. Fifteen points go to a Shariah board before launch. The big ones: whether BTC and ETH can be sold on deferred payment, whether owning the coin within one transaction counts as possession, the early settlement waiver, limited recourse, forced sale before the due date, the leverage ceilings, the profit share, and the stakers' reward. If the board says no to any of them, the design changes.

11 Launch

We launch guarded and open up slowly.

1. **Term mode first.** BTC and ETH, 7 and 14 day tickets, low leverage.
2. **Whitelisted traders and depositors** at the start. Deposits capped at 1 million USDC, raised in steps.
3. **Points from day one.** No token yet.
4. **Longer terms and evergreen tickets** as rulings arrive and the reserve grows.
5. **SCR** after 6 to 12 months of real fees.

12 Risks

- **Shariah.** A board may reject a key ruling. Some scholars reject crypto itself.
- **Smart contracts.** A bug could lose deposits or pledged coins. Audits, caps and a slow launch limit it.
- **Market.** A crash worse than March 2020 would exceed our backtests.
- **USDC and wrapped BTC.** A freeze or a broken peg hits every bucket.
- **Liquidity.** Depositors may wait more than one weekly cycle to exit.
- **SCR.** Its price can fall when it is needed most. That is why the backstop pays in USDC first.
- **Regulation.** How UAE law classes this product is not settled.

The simplest thing that works. A sale, a pledge and a partnership. Elegance just happens to follow.